AFRICAN RESPONSES TO DEVELOPMENT ISSUES

National responses

Solutions to most problems remain a countries responsibility. First and most important, individual African countries need a new 'national' development programme for reversing underdevelopment.

This implies embarking on internal changes in areas of political mobilization and participation, popular access to opportunities for majority, the overhaul of inherited socio-economic and political institutions, and the redefinition of relations with transnational corporations and other external forces. In Kenya, examples of national responses include Community Development Funds, (CDF) Free primary education, Secondary school education bursary fund, HIV/AIDS funds, Vision 2030 etc.

Regional responses

The term 'region' can be used to describe any international grouping which is less than global in scope, and which is characterized by some mutual relevance among members (Adetula, 2004:3). Integration represents a situation in which states becomes interdependent in whatever aspects of their relations they desire. Integration can take various forms:

a) Social integration

b) Political Integration

c) Economic Integration (Absence of discrimination within certain regions for example, elimination or minimization of trade barriers).

Regional or economic integration is a product of arrangements among countries which enhance their interaction mainly through elimination or lowering of barriers to trade.

The desire to engage in economic integration or to join such a trading arrangement is fortified by:

i. The need to promote economic growth in the participating countries
ii. The need to attract investment
iii. The belief that regional cohesion will usher in regional peace and security (Saitoti 2002).

The most compelling reason for regional economic integration is the creation of a larger internal market. This helps to inject economies of scale into the economy, both at the market and production levels. Firms are left to specialize in what they can do best and with minimum cost. An enlarged market also generates competition in the economy and firms are forced for their own survival to innovate and introduce new technologies in order to cut down per unit production costs. This not only enhances their efficiency but also helps to keep prices down thereby increasing the purchasing power of the public. Continental unity or regional cooperation is acknowledged as a strategy for combating foreign dependence and underdevelopment.

The form and intensity of regional economic integration vary substantially starting from a Preferential Trade Area (PTA) to the more advanced stage where countries establish a common market, an Economic Union or Political union.

Preferential Trade Area
Established when two or more nations agree to reduce tariffs on imports among themselves. They however maintain individual tariffs against non members i.e. COMESA countries.

Free Trade Area
Established when two or more countries agree to abolish all tariffs among themselves while each country retains its individual tariffs against non members (i.e. the rest of the world). The aim is to eliminate all forms of trade barriers as a way of having more interaction in trade. An example is the European Free Trade Area.

Customs union.
A more advanced form of integration whereby members abolish all tariff duties and go a step further to adopt a common external tariff against non members.

Common market
Established when countries not only remove internal barriers to trade and adopt common external tariffs but also allow free movement of capital and labour.

Economic union.
This is the most advanced stage of economic integration. In addition to a common market, member countries' macroeconomic, industrial and development policies are unified and harmonized. Member countries agree to coordinate their economic policies on such areas as interest rates, exchange rate, inflation and ultimately established a single monetary authority, adopt a single currency and banking system. With free movement of goods, capital and labour, they also coordinate their policies with regard to education, training, unemployment, pensions and health. Member countries have a common agenda that transcends trade issues to socioeconomic and political issues.

Political union
This is established when economic integration leads to growing political integration as the governments of members states work together to set out their development paths. Without a political union, it is unlikely for other forms of regional groupings to succeed.

Regional integration in Africa

Pan Africanism

Pan Africanism was formed at the beginning of the 20th century with the goal of uniting and improving the conditions of all people of African origin wherever they were. Pan Africanism had its origins outside the African continent because these conditions were present in Africa and elsewhere. It helped in the development of a spirit of solidarity among African people which is still evident today.

The usefulness of Pan Africanist movements ceased with the achievement of their original aims: demand for self determination and improvement in the condition of African people. Organizations of a more economic nature emerged to replace namely economic Commission of West African States (ECOWAS), East African Community (EAC), South African Development Committee (SADC), Preferential Trade Area (PTA) and Common market for East and Southern Africa (COMESA).

East African Community (EAC)

It has three members: Kenya, Uganda and Tanzania. It was established in the 1967 and collapsed in 1977 partly because its members Tanzania and Uganda were about to go to war. In 2001 it was relaunched with plans for reduction in trade barriers, coordination of economic policies and other forms of integration. In a short time it has made some progress. A customs union agreement was signed in 2004 but it will be only slowly implemented. There is political concern that Kenya, whose economy is generally more advanced than the other two will be overly dominant in the region. The East African court of justice and legislative assembly has been established. In 2007 EAC expanded to include Rwanda and Burundi. The EAC plans to create a currency union, a regional stock market

Economic Community of West African States (ECOWAS)

It is a group of fifteen countries. It was launched in 1975. Its main purpose is to promote trade within the West African region through a customs union and a common market. It has a fulltime secretariat, regional parliament and a court all based in Nigeria's capital Abuja.

Some minor regional groups

The common market for Eastern and Southern Africa (COMESA)

Member countries are Angola, Burundi Comoros, D.R. Congo, Eritrea, Ethiopia, Kenya, Madagascar, Malawi, Mauritius, Namibia, Rwanda, Seychelles, Sudan, Swaziland, Tanzania, Uganda, Zambia and Zimbabwe. COMESA began as preferential trade area in 1981. It was reorganized in 1994 to provide phased-in free trade and uniform commercial law. COMESA also sponsors a development bank, banking and insurance institutions, and a court of justice that (unlike many other African regional courts) has actually adjudicated cases. COMESA replaced the former Preferential Trade Area (PTA), which had existed from the earlier days of 1981. COMESA was established 'as an organization of free independent sovereign states which have agreed to co-operate in developing their natural and human resources for the good of all their people.'

Its objectives are:
To attain sustainable growth and development of the member States by promoting a more balanced and harmonious development of its production and marketing structures; to promote joint development in all fields of economic activity and the joint adoption of macro -economic policies and programmes; to raise the standard of living of its peoples, and to foster closer relations among its member States; to co-operate in the creation of an enabling environment for foreign, cross-border and domestic investment, including the joint promotion of research and adaptation of science and technology for development; to cooperate in the promotion of peace, security and stability among the member States in order to enhance economic development in the region; to co-operate in strengthening the relations between the Common Market and the rest of the world and the adoption of common positions in international fora; and to contribute towards the establishment, progress and the realisation of the objectives of the African Economic Community.

The intergovernmental Authority on Development (IGAD)

It was originally set up in 1986 to deal with drought and desertification in the Horn of Africa. Its early plans to coordinate funding for agricultural development and environmental projects came to very little but IGAD has had some successes in mediating political disputes among its seven members. IGAD has had successes in mediating political disputes in Djibouti, Ethiopia, Kenya, Somalia, Sudan, Uganda and Eritrea.

South Africa Development Co-ordination Conference (SADCC)
Southern African Development Coordination Conference (SADCC) - was alleged to be the cause of diversions of attention and resources from COMESA. The proposal for a merger plan between PTA and SADCC delayed and was never realized due to politics rather than economic priorities and necessities.

South Africa Development Committee (SADC)
The South African Development Community (SADC) consists of fourteen Southern African states. Until 1994 when South Africa became a member following its first multi-racial elections, the original ten member states that made up its membership were committed to regional cooperation as a way of reducing their collective and individual dependence on South Africa. However, the major shortcoming of SADC is its confidence in the goodwill of the West as well as its dependence on Euro-American capital. For instance, at the 2002 Annual Summit of SADC, the foreign ministers of member-states still called on the international community to assist with emergency relief in the form of foodstuffs, debt cancellation, and fairer trade and market access for developing countries.

The Mano River Union (MRU)
It includes Liberia, Sierra Leone, and Guinea. A nonaggression treaty signed in 1986 was ignored by all of them and each country has faced violent internal conflict, each involving guerillas partly encouraged and financed by the others.

Africa's Pan Regional Organization: African Union

It was launched in 2002 replacing the Organization of Africa Unity (OAU). Its main purpose is to provide a regular forum including an annual heads of state summit for all fifty-three African leaders to meet and discuss common problems and strategies.

The objectives of the AU are:
- To achieve greater unity and solidarity between the African countries and the peoples of Africa.
- To defend the sovereignty, territorial integrity and independence of its Member States.
- To accelerate the political and socio-economic integration of the continent.
- To promote and defend African common positions on issues of interest to the continent and its peoples.
- To encourage international cooperation, taking due account of the Charter of the United Nations and the Universal Declaration of Human Rights.
- To promote peace, security, and stability on the continent.
- To promote democratic principles and institutions, popular participation and good Governance.
- To promote and protect human and peoples' rights in accordance with the African Charter on Human and Peoples' Rights and other relevant human rights instruments.
- To establish the necessary conditions which enable the continent to play its rightful role in the global economy and in international negotiations.
- To promote sustainable development at the economic, social and cultural levels as well as the integration of African economies.
- To promote co-operation in all fields of human activity to raise the living standards of African peoples.
- To coordinate and harmonize the policies between the existing and future Regional Economic Communities for the gradual attainment of the objectives of the Union.
- To advance the development of the continent by promoting research in all fields, in particular in science and technology.
- To work with relevant international partners in the eradication of preventable diseases and the promotion of good health on the continent.

The organs of the African Union include:

a) An Assembly Executive Council,
b) The Pan-African Parliament,
c) Court of Justice and
d) A number of financial institutions.

NEPAD (New Partnership for African Development) (The most recent African plan for economic development

The New partnership for Africa's Development NEPAD

It is the most recent African plan for economic development. NEPAD is the economic strategy of the AU. It was formally launched in 2001and has its secretariat in Johannesburg. It has been described as “Africa’s strategy for achieving sustainable development in the 21st century” (Anyang’ Nyong’o et al, 2002, vi).

Its main focus is regional infrastructure, agriculture, market access, education, health and environment. A signature project is the African Peer Review Mechanism which is a voluntary program to try to monitor agreed standards of government behavior. Its objectives are:
a) To eradicate poverty;
b) To place African countries, both individually and collectively, on a path of sustainable growth and development;
c) To halt the marginalization of Africa in the globalization process and enhance its full and beneficial integration into the global economy;
d) To accelerate the empowerment of women.

Integration and development

a) Expanded market opportunities

Since the economies of most African countries are quite small in size, the formation of regional trade associations should increase the effective size of domestic markets and enhance the ability of these countries to benefit from economies of large scale production.

b) Economic growth and employment creation

Free trade will also lead to increased flow of investment within the region. By allowing free movement of labour and capital, factors of production will be able to go where returns are higher and this will lead to better use of resources within the region/.

Pursuing development projects jointly eliminates duplication of expensive facilities, improve capacity utilization and lead to a more efficient allocation of scarce resources.

c) Political economy.

Regional economic integration increases the bargaining power of member countries in the World Trade organization and other international forums.

d) Ability to withstand external shocks.

When nations organize themselves into regional economic blocs, these shocks are not as severe because their policies are unified and harmonized hence the shocks are spread throughout the entire region instead of being concentrated in one country.

e) Dependency syndrome.

Most trade in Africa is between the continent and the Western industrialized countries with the African countries serving as suppliers of raw materials to the industries of the West and as receptacles or markets for excess manufacturers from the metropolitan economies. If African countries establish an economic union, the latter will become a large single market hat can limit the continent's dependency on trade with the west.

f) Macroeconomic and political stability

Closer interaction between countries promotes cooperation and hence political stability. Harmonizing macroeconomic policies among member countries ensures macroeconomic stability. This can also be ensured through increased trade and ability to withstand external shocks.

Africa and other international groups

African countries are represented in a whole range of international groups that also promote regionalization. The most relevant to development include:

United Nations
By their sheer number of sovereign states, the African bloc makes its presence felt in the General Assembly. It also is a major focus of the UN's various agencies including the United Nations Development Program (UNDP) and the Economic Commission for Africa.

Commonwealth
This group comprises mostly former British colonies. It has many African members and holds annual meetings to try to promote better governance among its members. It's mandate remains unclear.

G-24
It comprises leading developing countries seeking to influence international policies on monetary and development finance issues. Its sub-Saharan members are Cote d'Ivoire, Ethiopia, Gabon, Ghana, Nigeria, South Africa and the Democratic Republic of Congo.

G-77
The group is a larger caucus that now has more than 130 members .it tries to coordinate common negotiating positions for all developing countries on major international economic issues within the United Nations system.

NAM
The Non-Aligned Movement is an international organization of over 100 states that consider themselves neutral in global affairs. NAM started in 1961 at the height of the Cold War with the idea that poor countries were caught in the middle of a battle between global powers.

World Trade Organization (WTO)

This is the largest and probably the most important institution for multilateral trade negotiations. It has 148 member states with the mandate to facilitate global trade by helping to establish and interpret trade rules. It is based in Geneva, Switzerland. It was founded n 1995 to succeed the

General Agreement on Tariffs and Trade (GATT), which had been set up in 1947 to provide a forum for reducing trade barriers on eh principle that countries should all be treated equally.

Objectives of World Trade Organization

• Raising standards of living

• Ensuring full employment

•Realizing these aims consistently with sustainable development and environmental protection

• Ensuring that developing countries, especially the least developed countries (LDCs), secure a proper share in the growth of international trade.

However, since its creation the WTO's emphasis has slipped from concentrating on these public interest goals to seeing itself primarily as 'an organization for liberalizing trade,' and declaring that 'the system's overriding purpose is to help trade flow as freely as possible.' This has been the source of one of the fundamental tensions surrounding the mandate and activities of the organization. Some (such as developing countries and non-governmental organizations) would like to see added emphasis on the public interest goals, whilst others (private companies and some industrialized countries, for instance) favour faster removal of obstacles to free trade.

Today, an increasing number of voices are being raised to underline that free trade should not be an end in itself, but rather a tool to achieve equitable development and a better world. That the WTO's public interest objectives remain out of reach of many has drawn criticism that the organization is dominated by rich countries, functions in a secretive manner, and helps feed the greed of the rich in the name of trade liberalization

The African Growth and Opportunity Act (AGOA)

It is a special US legislation enacted in 2000 designed to encourage African trade its provisions are mostly aimed at boosting Africa's textile sector by allowing clothes and other fabrics into the large US consumer market without the usual tariffs. It has been successful in boosting US0-Africa trade but the overall impact has been fairly small and only a few countries have truly benefits.

The European Union's *Everything but Arms (EBA)* initiative allows many imports into the EU from poor countries including most of Africa duty free. The main exception is military hardware.

References

Padamja Khandelwal (2004) *COMESA and SADC: Prospects and Challenges for Regional Trade Integration.* IMF working paper.

Moss Todd (2007) *African Development. Making sense of the issues and actors*. London: Lynne Rienner Publishers.

Saitoti G. (2002) *The challenges of economic and institutional reforms in Africa. Contemporary perspectives on developing societies.* USA: Ashgate publishing company